

TAB 12



Board of Education Report

File #: Rep-197-22/23, **Version:** 1

2022-23 Second Interim Report and Multi-Year Projections

March 27, 2023

Office of the Chief Business Officer

Action Proposed:

1. Approve the 2022-23 Second Interim Financial Report, which contains a “positive” certification (enclosed herewith as “Attachment A”). In addition, approve to submit the Second Interim Report to the Los Angeles County Superintendent of Schools (CSS).
2. Approve resolution (enclosed herewith as “Attachment B”) to commit fund balance in fiscal year 2022-23 for a specific use of program that meets various obligations and contractual arrangements.

Background:

Under Education Code (EC) Section 42130, the superintendent of each school district is required to submit two reports to the governing board of the district during each fiscal year. The first and second reports shall cover the financial and budgetary status of the district for the period ending October 31 and January 31 (“First and Second Interim” reports, respectively). Both reports shall be approved by the district’s governing board no later than 45 days after the close of the period being reported. In addition, EC section 42131 requires the Board to certify to the CSS, the State Controller, and the State Superintendent of Public Instruction whether the district is able to meet its financial obligations for the remainder of the fiscal year and, based on the current forecast for the next two fiscal year, using one of three certification scenarios:

- A *positive* certification indicates that based on current projections, the district *will* meet its financial obligations for the current fiscal year and two subsequent years.
- A *qualified* certification indicates that the district *may not* be able to meet its financial obligations for the current or two subsequent fiscal years.
- A *negative* certification indicates that the district *will not* be able to meet its financial obligations for the current or subsequent fiscal year.

Expected Outcomes:

Upon adoption by the Governing Board (“Board”) of the Los Angeles Unified School District (“District”), the District files the Second Interim Report with the CSS to be in compliance with the EC requirements.

Approval of the resolution to commit fund balance shall ensure funds are used for the specific purpose unless the Board takes subsequent formal action to uncommit the originally imposed constraint.

Board Options and Consequences:

The Board may accept the staff’s recommendation of a positive condition or approve it with a modification in the projections.

Los Angeles County of Education (LACOE) shall review the District's certification. It has the authority and responsibility to change the certification if it determines that the District's certification was not appropriate.

In the event the District's certification is other than positive at the second interim period, it must provide an additional report of financial statement projections of fund and cash balance no later than June 1st. This is known as the "Third Interim Report", which does not require Board certification. Further, it may not, in that fiscal year or the next fiscal year, issue non-voter approved debt unless the CSS determines that the District shall probably make repayment of such debt issuance. LACOE may also impose various restrictions on districts that fail to deal with financial issues raised in interim reports. Finally, rating agencies may consider interim reports when evaluating or revising credit ratings.

Without approval to commit fund balance, the District will not adhere to reporting requirements for reserves as set forth in Education Code 42127.01.

Policy Implications:

Submission of the District's 2022-23 Second Interim Financial Report and approval of the resolution to commit fund balance shall comply with Education Codes and LACOE requirements.

Budget Impact:

The District shall be able to meet its financial obligations and maintains reserves at the required statutory level.

Student Impact:

Compliance with Education Code ensures that the District shall continue to operate and serve its student population.

Equity Impact:

Component	Score	Score Rationale
Recognition	3	District budgeting ranges from "not recognizing historical inequities" to "actively recognizing and specifying historical inequities". While some allocations of resources are district-wide, some investments such as Student Equity Need Index recognizes historical inequities.
Resource Prioritization	3	Resource prioritization varies from a district-wide perspective to a targeted student population based on student need and its impact on student achievement.
Results	2	Resources are allocated to the extent that it would support student needs, address priorities of achieving the District Strategic Plan
TOTAL	8	

Issues and Analysis:

The District continues to be challenged with deficit spending wherein projected expenditures are greater than projected revenues. It shall continue to monitor spending and explore strategies to balance its budget.

Attachments:

Attachment A - 2022-23 Second Interim Financial Report and Multi-Year Projections

Attachment B - Resolution to Commit Fund Balance for the 2022-23 Fiscal Year

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Informatives:

None

Submitted:

02/23/2023

RESPECTFULLY SUBMITTED,

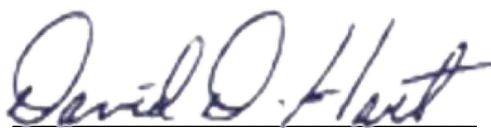
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Chief Business Officer
Office of the Chief Business Officer

☒ Approved as to form.

REVIEWED BY:

TONY ATIENZA
Director, Budget Services and Financial Planning

☒ Approved as to budget impact statement.

ATTACHMENT A

2022-23 SECOND INTERIM FINANCIAL REPORT AND MULTI-YEAR PROJECTIONS

PLACEHOLDER

ATTACHMENT B

RESOLUTION TO COMMIT FUND BALANCE FOR THE 2022-23 FISCAL YEAR

PLACEHOLDER